

The Value-Creation Bridge

How much of your return did you *create* — and how much was *transferred* to you?

Separating operational value from financial engineering — with no double-counting.

The question every LP is now asking. With multiple expansion gone and leverage expensive, a strong return is no longer self-evidently a *good* return. The question is how much of it you actually **built** — real, repeatable operational value — versus how much was **handed to you** by a richer exit multiple, cheap leverage, or a tax structure. The Value-Creation Bridge answers that precisely, and then shows exactly where the value you built came from.

What it answers

Two questions, in order:

1. **Created or transferred?** Of the total value realized over the hold, how much is genuine operational value the business *created*, and how much is value *transferred* into (or out of) your equity — multiple re-rating, deleveraging, tax shields, timing?
2. **Where did the created value come from?** The portion you genuinely created, attributed cleanly across the operating levers — **pricing**, **volume**, and **cost productivity** — with capital efficiency tying the operations to cash.

How it works

Split 1 — Created vs. Transferred. Take the whole system — the company and every counterparty (buyers, lenders, the tax authority, the next owner). Value the business *made* shows up as the total pie growing; value merely *moved* between parties leaves the total unchanged and only reshuffles who holds it. Those are two non-overlapping pools, and together they account for the entire gain — nothing falls between them.

Split 2 — Attribution within Created. The created pool is then split across pricing, volume, and cost productivity so that the pieces *add up exactly* to the total created, with no leftover “interaction” or “other” line and no lever double-counted.

Why you can trust the numbers

This is what separates the Bridge from a conventional value-bridge slide:

- **It sums exactly to the whole.** The pieces reconcile to the realized gain to the dollar — it is grounded in conservation-based accounting (the same balance principle as double-entry bookkeeping), so the books balancing *is* the decomposition being exact.
- **No double-counting.** Created and transferred do not overlap, and each operating lever is credited once. The cross-terms that usually get dumped into a residual are allocated by a single, symmetric, defensible rule.
- **Every assumption is on the page.** The math fixes the *form*; the judgment calls — where the system boundary sits, how flows are classified, how price is separated from volume — are stated explicitly, so the answer is transparent and contestable rather than a black box.

What we need / what you get

Inputs (from you)	Outputs (from us)
Entry and exit financials over the hold; deal structure (multiple, leverage, taxes); basic price and volume data per major line.	A clean Created-vs-Transferred bridge; a one-line “real vs. engineered” verdict; the created value attributed to pricing / volume / cost; and the implication for the next hold’s value-creation plan.

Worked example (illustrative)

A sponsor exits a business after five years at a headline **3.1× MOIC** — equity in at \$400M, out at \$1,250M, a **\$850M gain**. A celebrated outcome. The Bridge asks: how much did the company actually create?

Split 1 — of the \$850M gain, how much was created vs. transferred?

Source of the equity gain	\$M	Bucket
Operational EBITDA growth (\$100M → \$150M, at entry multiple)	500	Created
Multiple expansion (10.0× → 11.0×)	150	Transferred
Deleveraging (net debt \$600M → \$400M)	200	Transferred
Total equity gain	850	

So what. Only **\$500M — 59% — was value the company created**. The other **41% (\$350M) was transferred in**: a richer exit multiple (\$150M, paid by the next buyer) and deleveraging (\$200M — value moving from debt to equity as the debt is retired; enterprise value is unchanged, so it is a capital-structure transfer, not new value). Neither is operational alpha, and neither is guaranteed to repeat. Value the business at the *entry* multiple on the *entry* balance sheet and exit equity is about \$900M: the headline 3.1× is really a **2.25× of created value** wrapped in financial engineering.

Split 2 — of the \$500M created, where did it come from?

Operating lever	\$M	Share
Pricing (net realized price, +8.0%)	95	19%
Volume (+18.7%)	211	42%
Cost productivity (margin, +17.0%)	194	39%
Total created	500	100%

The three levers compound to the +50% EBITDA growth ($1.080 \times 1.187 \times 1.170 = 1.50$, i.e. \$100M→\$150M), and the dollars are the exact log decomposition of that growth — so they sum to the created \$500M with no “interaction” or “other” residual.

So what. Of the value the company *built*, volume and cost productivity did ~80% of the work; **pricing contributed just 19%**. For a business with real brand and switching costs, that is the loudest signal in the analysis: **pricing is the under-exploited lever** — and the most credible source of value for the next hold.

Assumptions — stated, because that is the point. Multiple expansion is treated as transferred (no evidence of structural de-risking behind the re-rating); EBITDA growth is valued at the *entry* multiple so growth is not conflated with re-rating; deleveraging is classified as a within-capital-structure transfer (enterprise value is unchanged by the paydown — a sponsor who credits the cash flow that funded it to operations would reclassify it, and the bridge updates); price is separated from volume using the company’s own realized price index. Change any of these and the bridge updates transparently — the rigor is exactly as good as the assumptions, and the assumptions are visible.

Draft methodology concept prepared by the ENT 105 team for Creo Advisors. Figures are illustrative. Underlying decomposition grounded in conservation-based accounting; assumptions are client-specific and set at the engagement’s scoping stage.